

Now, you may be wondering what kinds of debt you should be getting rid of before you invest, and what debt doesn't matter too much.

In countries such as New Zealand, student loans are usually 0 per cent interest, so it does not make sense to pay this off before you begin investing. In fact, when debt has a 0 per cent interest it almost makes sense to pay it off as slowly as possible, as \$50 000 today will be worth less in five to 10 years' time due to inflation.

In some countries or with private universities, student loan debt can range from 3 to 14 per cent, and the loans themselves can be as high as six figures. Interest on credit card debt is on average around 14.5 per cent, and mortgages average around 3 to 6 per cent. So which ones do you pay off?

There is no magic number that determines what 'high interest' is, but I like to say that anything over 7 per cent should be paid off sooner rather than later. Why? Because the stock market usually returns 7 to 9 per cent annually, so having debt at or over 7 per cent begins to eat away at your gains. It's just like pouring water into that bucket with the hole at the bottom.

If you have debt, let's list them out:

1. Student loan debt \$_____ at _____ per cent
2. Credit card debt \$_____ at _____ per cent (Look, if you need multiple lines for this one, I am not judging.)
3. Personal loan debt (e.g. car) \$_____ at _____ per cent
4. Mortgage debt \$_____ at _____ per cent.

If any of these interest rates are higher than 7 per cent, it's worth your time focusing your attention on paying them off as soon as possible — in most circumstances, you'll feel better about investing once you have all the high-interest debt paid off. If the interest rate is under 7 per cent it doesn't mean you cannot invest until the debt is paid off — if that were the case, no one with a mortgage would ever enter the stock market.

To get rid of your high-interest debt, you might be able to start by consolidating or refinancing your debt. This means merging several debts into one and ideally getting a better interest rate to attack them faster. You